

Datadog Inc

Still Bullish Ahead of the Print

Summary

Ahead of Datadog's 1Q26 print on Thur May 7, we offer our thoughts on fundamental trends and the stock, post conversations with 4 Datadog enterprise customers. While the valuation (11.0x/39x our 2026e rev/FCF estimates) and the out-performance in the stock YTD (Datadog shares are +3% YTD with the broader software sector -27%) make the stock set-up less attractive, Datadog's fundamentals remain solid and AI disruption risk is relatively low, in our view, and we remain Buy-rated.

Core Enterprise Demand Trends

Our checks with core enterprise customers (88% of Datadog's ARR) were solid, not spectacular. In terms of 2026 spending intentions on Datadog, we heard it will increase "8-12% this year", "10-15% this year", stay "stable" and increase "10-15%". As one customer said, "we're looking at increasing our Datadog spend in line with our cloud spend." This in our view is important in light of the solid core CPU-based infra demand signals from the hyperscalers. Customer cited the use of Dynatrace, Elastic, New Relic and Cisco/AppDynamics but we didn't hear of any plans to shift share away from Datadog. More broadly, customers cited that AI initiatives were beginning to put pressure on certain non-AI spending items (but no pull-back on Datadog spend) and we didn't pick up any signs of macro or geopolitical pressure on IT budgets.

AI Opportunity and Risks

Datadog has one of the largest exposures to OpenAI, Anthropic and other AI-natives among all software firms. In terms of AI disruption risk, there is no "safe" corner of the software market anymore, but Datadog appears to be at the safer end of the spectrum. Customers concluded that "I would categorize Datadog as a moderate AI beneficiary". As one customer said, "OpenAI and similar AI models are powerful for analysis and augmentation, but they do not replace the operational backbone required for enterprise observability." There was little or no appetite from these enterprise customers to harness AI models to DIY or custom-build observability solutions. Nor have we seen or heard any hard evidence to suggest that OpenAI or Anthropic might go in-house or launch a 1P observability product.

Valuation:

At 11.0x/39x our 2026e rev/FCF estimates, Datadog shares are in our view still reasonably-priced relative to its high-20% revs growth rate and peers such as Snowflake (at least on a FCF multiple basis) growing at similar rates. We are leaving our \$195 PT unchanged, which is based on 43x CY27E FCF.

Equities

United States
Software

12-month rating **Buy**

12m price target **US\$195.00**

Price (01 May 2026) **US\$140.53**

RIC: DDOG.O BBG: DDOG US

Trading data and key metrics

52-wk range US\$199.72-102.62
Market cap. US\$49.0b
Shares o/s 349m (COM)
Free float 87%
Avg. daily volume ('000) 5,484
Avg. daily value (m) US\$661
Common s/h equity (12/25E) US\$3.73b
P/BV (12/25E) 13.1x
Net debt to EBITDA (12/25E) NM

EPS (UBS, diluted) (USD)

	12/25E	
	UBS	Cons.
Q1	0.57	0.46
Q2	0.57	0.46
Q3	0.69	0.55
Q4E	0.73	0.59
12/25E	2.56	2.05
12/26E	3.10	2.17
12/27E	3.93	2.64

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Highlights (US\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Revenues	1,675	2,128	2,684	3,427	4,351	5,369	6,510	7,771
EBIT (UBS)	326	490	674	768	1,046	1,365	1,751	2,180
Net earnings (UBS)	338	576	807	926	1,152	1,499	1,851	2,309
EPS (UBS, diluted) (US\$)	0.98	1.65	2.26	2.56	3.10	3.93	4.73	5.76
DPS (net) (US\$)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net (debt) / cash	1,145	1,841	2,576	3,491	4,705	6,271	8,232	10,646
Profitability/valuation	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
EBIT (UBS) margin %	19.5	23.0	25.1	22.4	24.0	25.4	26.9	28.0
ROIC (EBIT) %	133.9	218.0	417.1	404.8	>500	>500	>500	<-500
EV/EBITDA (UBS core) x	92.0	50.8	53.5	55.8	40.5	30.0	22.6	17.3
P/E (UBS, diluted) x	NM	54.6	55.5	55.0	45.4	35.8	29.7	24.4
Equity FCF (UBS) yield %	1.0	2.1	1.9	1.9	2.5	3.2	4.0	4.9
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US\$ 140.53 on 01-May-2026

First, Some Context

Before discussing our checks and key conclusions from them, let's summarize the key debates and the current investor sentiment on Datadog shares.

Key Debates

- The risk that OpenAI and/or Anthropic step into the observability software arena with a 1P product and/or build an internal alternative to Datadog and hence downsize their existing Datadog contracts. This is tough to do checks on but we offer our latest views.
- The impact of "new" emerging rivals such as Chronosphere/Palo Alto or ClickHouse. We have NOT heard anything from Palo Alto Networks to make us believe that Chronosphere is taking material share (yet) and while OpenAI is also using ClickHouse, we'll be at the ClickHouse user event in SF on May 27 to dig deeper into an incremental shifts.
- The demand trend line in the core enterprise customer segment, whether the recent acceleration in non AI-native revs growth (from 18% in 2Q25 to 23% in 4Q25) can continue and if the decibel level about pricing push-back is changing. This we CAN vet via customer checks. Note that in 4Q25, Datadog called out "broad-based positive trends in the demand environment with the ongoing momentum of cloud migration" (we believe that cloud migration activity remained strong in 1Q26) and cRPO or short-term bookings growth has accelerated to 40-50% in each of the last two quarters.
- Valuation, and whether the stock can work from here at 11x revs/39x FCF when the broader software sector has so materially de-rated.

Investor Sentiment

As shown in Figure 1 below, the broader software sector is -27% so far in 2026 compared to the S&P 500 up 8% and the NASDAQ +7%, one of the sharpest corrections in memory. As is evident below, the only material distinction that investors appear to be making is to favor infra/data/security-exposed software stocks (dominating the best-performers on a view that they're more insulated from AI disruption) at the expense of seat-based SaaS or application software stocks (dominating the worst-performers). Datadog shares are +3% YTD, materially outperforming the rest of the group and in particular peers including Snowflake (-36%) and MongoDB (-37%). Even more notable is the fact that Datadog shares are +34% over the last 12 months compared to the broader group at -25% over that same period. This outperformance stems in part from Datadog's more durable (in fact accelerating) growth rate, its large exposure to OpenAI, Anthropic and other hyper-growth AI-natives, the easing of OpenAI churn concerns and a view (which we share) that the frontier model providers are not signaling that they plan to extend their 1P reach into the observability or data software markets in the way that they have in the application and security software markets.

Figure 1: \$5B+ Software Stock Performance YTD

\$5B+ Market Cap Software	Ticker	% Change		Ticker	% Change	
			YTD			YTD
Twilio	TWLO	29%		Rubrik	RBRK	-28%
Zoom Communications	ZM	20%		Paylocity Holding Corp	PCTY	-28%
Akamai	AKAM	19%		BILL Holdings	BILL	-28%
Cloudflare	NET	10%		Adobe Systems	ADBE	-28%
Fortinet	FTNT	9%		Gen Digital	GEN	-29%
Datadog	DDOG	3%		Open Text	OTEX	-29%
SentinelOne	S	-1%		Guidewire	GWRE	-30%
Palo Alto Networks	PANW	-2%		DocuSign	DOCU	-30%
CrowdStrike	CRWD	-3%		SAP	SAP-DE	-30%
Dropbox	DBX	-10%		Salesforce	CRM	-31%
Oracle	ORCL	-12%		Klaviyo	KVYO	-32%
Okta	OKTA	-12%		UiPath	PATH	-35%
Dynatrace	DT	-13%		Elastic N.V.	ESTC	-36%
Microsoft	MSFT	-14%		Snowflake	SNOW	-36%
Box, Inc.	BOX	-16%		Gitlab	GTLB	-36%
Paycom Software	PAYC	-17%		MongoDB	MDB	-37%
Autodesk	ADSK	-17%		Zscaler	ZS	-38%
Nutanix	NTNX	-18%		Check Point Software	CHKP	-38%
Procore Technologies	PCOR	-18%		Intuit	INTU	-40%
Palantir	PLTR	-19%		HubSpot	HUBS	-40%
Varonis Systems	VRNS	-19%		ServiceNow	NOW	-40%
PTC Inc.	PTC	-22%		Workday	WDAY	-41%
Veeva Systems	VEEV	-23%		Atlassian	TEAM	-45%
Tyler Technologies	TYL	-26%		monday.com	MNDY	-51%
Mean						-21%
Median						-27%
NASDAQ Composite						8%
S&P 500						6%

Source: FactSet, UBS

Valuation Thoughts

As shown in Figure 2 below, Datadog shares now trade at 11.0x our 2026e revs estimate and 39x our FCF estimate, a significant premium to the company's high-growth comp group median of 5x on revs and 17x on FCF. While that's ostensibly expensive, Datadog still trades at a material discount to other 20%+ growth AI "beneficiaries" like PLTR and CRWD. While Datadog's GAAP EPS profile is too low (an estimated \$0.59 in 2026) to value the stock on this basis, the company is at least GAAP EPS positive unlike peers such as Snowflake. Bottom line, we conclude that Datadog's valuation multiples remain attractive for 20%+ growth, stable margins and a discernible AI pull-through story. We maintain our Buy rating and are leaving our \$195 PT unchanged, which is based on an unchanged 43x CY27E FCF.

Figure 2: Peer Group of 20%+ Growth Software Firms

Company	Ticker	Price 5/3/2026	% Change YTD	Market Cap	Revs Growth Y/Y%			EV/Revs			EV/FCF		
					CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E
Palantir	PLTR	\$144.07	(19%)	\$369,239	56%	62%	43%	80.9x	50.0x	35.0x	159.5x	89.4x	63.0x
Cloudflare	NET	\$217.50	10%	\$79,445	30%	29%	27%	36.3x	28.2x	22.2x	NM	NM	NM
CrowdStrike	CRWD	\$455.64	(3%)	\$116,790	22%	23%	22%	23.7x	19.3x	15.9x	92.3x	64.9x	49.3x
Datadog	DDOG	\$140.53	3%	\$50,412	28%	27%	23%	14.0x	11.0x	8.9x	52.3x	39.4x	30.6x
Snowflake	SNOW	\$141.00	(36%)	\$52,506	29%	27%	24%	11.1x	8.7x	7.0x	45.6x	38.3x	29.2x
Zscaler	ZS	\$139.81	(38%)	\$23,150	24%	22%	19%	7.3x	5.9x	5.0x	26.8x	21.5x	17.4x
Dynatrace	DT	\$37.61	(13%)	\$11,439	18%	16%	14%	5.3x	4.6x	4.0x	20.8x	17.4x	15.0x
ServiceNow	NOW	\$77.47	(40%)	\$80,954	21%	22%	19%	5.8x	4.8x	4.0x	16.8x	13.7x	11.4x
Atlassian	TEAM	\$88.88	(45%)	\$23,616	22%	20%	16%	4.0x	3.4x	2.9x	15.9x	12.8x	10.0x
Gitlab	GTLB	\$24.05	(36%)	\$4,100	26%	17%	16%	3.0x	2.6x	2.2x	13.4x	13.4x	11.0x
monday.com	MNDY	\$72.74	(51%)	\$3,875	27%	18%	16%	1.8x	1.5x	1.3x	6.8x	7.8x	6.2x
Mean			(27%)	\$76,511	27%	25%	22%	17.9x	12.9x	10.0x	44.2x	31.0x	23.6x
Median			(36%)	\$38,061	25%	22%	19%	6.5x	5.4x	4.5x	20.8x	17.4x	15.0x

Source: FactSet, UBS for DDOG

Core Enterprise Demand

With that as a backdrop, we offer the unvarnished feedback from our recent checks below, with a focus in this section on core spending trends. In the following section, we'll address the AI impact on Datadog more directly.

Customer 1

- *The current plan is for our overall IT spend to increase between 10-15% this year and that's mostly in line with 2025, maybe slightly lower. A lot of it is because we're growing our business across the board with our large financial and fintech customers, but also with new AI initiatives. It's something that we need to pour money into both to develop and see existing/new areas to implement technology into. We're looking at increasing our Datadog spend in line with our cloud and IT spend, so 8-12% this year. That's because our business is growing, so there are more cloud workloads that we need to monitor. We're also using Bits AI and LLM monitoring, but it's not substantial.*
- *We're definitely increasing our cloud spend, and it's increasing about 10% this year. We're on all 3 cloud vendors, and the distribution is 40%/30%/30% with AWS/Azure/GCP. In the budget we're always prioritizing and focusing on security. I don't know if it's an increased focus because you always focus on security, but that's the only one I can think about aside from AI. We're de-prioritizing initiatives related to human collaboration. If more and more workloads go into agentic AI or agentic automation, then we'll see a decrease in reliance on tools that facilitate human collaboration. That could be things like Atlassian, enterprise tools like Workday and Salesforce.*
- *We use more than just Datadog in our environment. We also use New Relic and AppDynamics, but Datadog is our primary observability vendor. Yes we're evaluating Arize and other vendors for LLM monitoring, but the whole appeal of Datadog is the single pane of glass. We're hesitant to pull in another vendor for some of the newer use cases around AI. They also have an easier solution to ramp up and it presents things a bit more comprehensively currently. LLM observability is not something overly complex, so maybe we could find something cheaper, but it's not a cost issue and that's not something that would make us consider bringing in another vendor.*
- *Bits AI [Datadog's "DevOps copilot"] is "wonderful", and I see it taking over more and more of our DevOps workloads. It now has the ability to inject code features or changes to mitigate issues, so you're kind of starting to get into full automation. Right now I want a human looking at it, but it's "wonderful" at really speeding up the processes around incidents and mitigation. It's also helping junior employees move faster. I think it will also be meaningful for reducing headcount down the road because it really takes over a lot of the things that were manual.*
- *LLM observability and Bits AI are not substantially increasing our spend, and I think it would maybe increase spend up to 10%. It would change if they adjust the pricing, like if it starts really getting into the ability to reduce a lot of headcount and do a lot of these things automatically, then they could use value-based pricing, increase the price and then I would pay up for it. As these coding tools get better and better, they also could handle a lot of the deployment and management, so yes maybe it would be something that would come up. But just because it's easier to write code does not remove the challenge of managing and maintaining the open source observability. That has to go down substantially.*

Customer 2

- *The way our business operates is that it's driven by the consumer revenue. I operate in streaming and so the macro is having a minimal impact, but AI is definitely shifting things. There's this concept of offshore labor, and there was a chasing the sunset construct where you'd hand off to offshore teams. Now that will shift rapidly since you can get a lot of the way there with AI. The AI dollars are definitely getting prioritized for sure. That's corresponding with the rapid innovation and iteration in the space. That's a good thing. It's a major investment, we have to look at all of our workflows and really invest there. Obviously it's not a net zero change. In terms of budget, I think it's going to be mostly services related that loses out. What AI is doing well directly correlates with your offshore services organization or even some of your lower cost entry level software engineering functions.*
- *I think right now our Datadog spend is basically stable, and it's because a lot of these things are still in POC land and these models are so expensive. From a personal perspective, I think it will decrease over the next three years. If I had to categorize it, an area of focus is to optimize it. You want to pre-empt the Twitters or Reddits of the world complaining about how your offering is buggy or laggy. You want to stay on top of that, which brings you pretty far up the stack into the RUM and observability landscape of Datadog. All of the other stuff like infrastructure monitoring is important but it won't directly degrade the customer experience.*

Customer 3

- *I think our budget is going to shrink this year. With everything AI-related, companies are looking for ways to shrink their operational cost, both in terms of software spend and doing some consolidation and clean up as well as in headcount reductions. We're trying to shrink the budget more than 10%. We started a process of consolidation a while back, so as we merge companies together, one company might be using Jira, others may not. That reduces the cost when it comes to larger management and consolidating on specific vendors. It's a continuation of cutting costs. Our insurance products are not the cheapest options, so in order to compete with the ones out there you have to be able to reduce cost. Either you take a little margin, or you start cutting costs.*
- *AI is obviously getting prioritized. Everything else is getting shrunk. Having separate DevOps teams, separate IT groups. You're seeing consolidation there. What used to take 10 IT people in one part of the group can now take far less as a result of AI efficiencies. We're doing a lot of renegotiation of existing contracts. We're cutting headcount as I mentioned, and I don't think anyone has actually figured out how an engineering team is supposed to look. Leadership is asking teams "who's your lowest performer, are they the right fit" and to remove "one person there." This has been going on for some time, so it's starting to abate a little bit. But nobody feels the sense of psychological safety right now.*
- *While everyone is focusing on engineering, one huge area that everyone keeps forgetting about is operations. Engineering operations like DevOps. We're one of those companies that integrates with a ton of vendors, so every time something goes down, everyone scrambles. Those things keep running constantly. Effort needs to be put in as it relates to understanding when there are blow ups in the system, how do you detect those blow ups. This is an area where AI can help play a role in.*
- *Our AI spend would go up a lot if we were able to do that. What does it mean to the flow of traffic? If new code goes out there, what if there are any bugs? Everyone is looking at the outputs of what AI can do. I can't tell you whether companies like ours are going to spend more and spend less until we know how it plays into the AI strategy. If you can take downtime and make it a lot shorter, the investigation, pointing it to the root problem. That would be huge. Downtime is really important. If Datadog were able to build a self-healing AI system that would increase our spend by 50% for sure.*
- *Our Datadog spend will maybe increase 10-15% this year as teams start moving their infrastructure internal. We'll have to pay for more capacity. There are people like me doing the research and coming back with recommendations on what those systems can and cannot do. I recommend it to everyone. One of the reasons*

why companies use Datadog and like it is because I'm easily able to plug into other solutions, especially when working with startups.

Customer 4

- Our IT budget is going to increase 10% this year, and it's increasing because we always want to challenge ourselves on the technology side. For sure that's going to AI in order to be aligned with the regulations and stuff that we're supposed to respect here in Europe. Being in a really regulated and structured group, we need to respect first what our regulators say. We can't go too fast because we need to evaluate every single task and every single piece of information that we provide the AI to respect information privacy with regulators. We're using Claude internally and Copilot, but we're still in the early stages for deploying generative AI.*
- AI is a priority, but right now we're focusing on AI spending with observability running things like anomaly detection and reducing the noise in our systems, putting some ML under that to define behavior across infrastructure and the customer end service. We're using it to summarize incidents and tracing, evaluating systems for workload growth to make sure we're optimizing for cost.*
- Our observability spend is going to increase, and it's going to increase moderately. In the next 12 months we expect it to increase 10-15%, which will be driven by usage volumes. We're expanding our digital banking services and adding incremental AI-driven capabilities, which is driving this. I expect the spend to continue to increase with Datadog over the next 2-5 years. We're expanding our digital banking footprint, which means more applications and transactions that will create more logs, traces, and other things like that. The telemetry data is really important for our ability to operate. As the volume scales, the telemetry scales proportionately. We're launching new digital features, new APIs and new microservices, which means more distributed traces and additional tests we need to run. Our compliance and regulatory needs are a key driver of our observability spend because we need to keep a log of everything.*
- We have evaluated alternative vendors beyond Datadog, and we evaluated Dynatrace and Elastic in the past. We looked at Splunk, which we used for 10 years until less than a year ago. Splunk was so powerful and considered primarily for log management and the security integration, but we decided to consolidate around Datadog. A key driver of this was the cost optimization around the licenses.*
- Datadog differentiates itself not just as a monitoring tool but because it's a cloud native, developer-centric platform that provides unified observability. Looking at these powerful and key factors made us to decide to use Datadog. For sure it was the unified platform that is across metrics, logs, trace and stuff unlike fragmented tool stacks. In our case Datadog provides the infrastructure monitoring, log management, real user monitoring, security integration. So all these aspects and others too in a single data model and interface. It's easy for our engineers to talk with it. Furthermore, as I said, it's cloud native. It was built during the cloud-native era and integrates natively with Kubernetes and containers and scales with our environment. It was easier to plug in to it with our multi-cloud architecture.*
- The agent deployment via auto-discovery, dynamic tagging and all that stuff are also strong differentiators in a highly dynamic environment. From a coding and a developer perspective, it differentiates itself through data libraries that are in the languages that we need. The APM integration with the code changes is strong, and it traces content propagation across microservices, so the observability becomes part of the development life cycle. It's not just an operation. It's really an assistant for the coding.*
- For 2025 APM is likely to see the most expansion because we got an increase of distributed tracing coverage. We have more critical customer-facing APIs, so we have more needs in this way. As we onboard the new digital services, APM infrastructure becomes standard by default. So I think APM, it's the primary growth area. Log management also will see good growth due to the volume that comes with the network increases from the transaction growth. Infrastructure monitoring too, and infrastructure will grow more steadily compared to the APM with drivers that could be the cluster expansion of Kubernetes, the additional cloud accounts that we need year-by-year.*

Summary of This Feedback

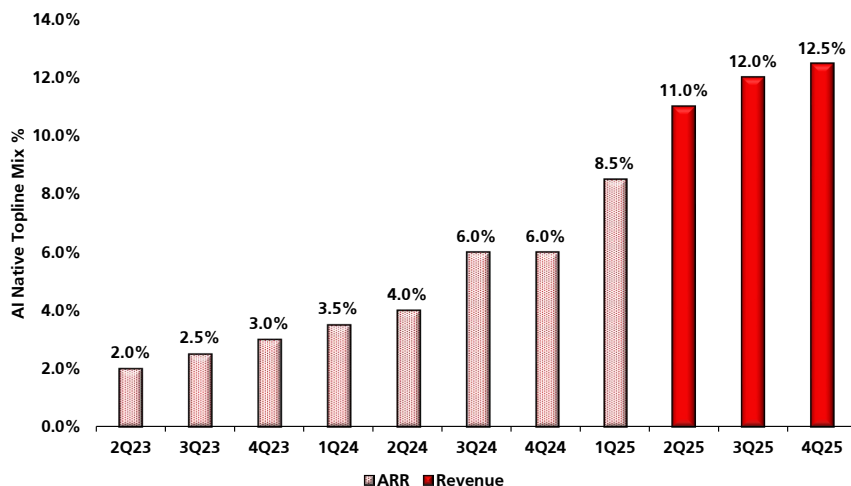
Note that these limited checks were with “mainstream” enterprise customers and hence can be used as an input to judge how the 88% of ARR from these core enterprise clients is tracking relative to expectations. We came away with a few key takeaways from these checks, which generally sounded solid and dissuaded us from changing our constructive view of Datadog’s core on non-AI growth trajectory.

- **Broader IT Spending Trends:** Our checks skewed to stable-to-up IT budgets, with two customers describing increases of 10% and 10-15% (quite material), while one large insurance company was planning for a budget decline of more than 10%. One common thread was that AI initiatives were beginning to put pressure on certain non-AI spending items such as external IT services (we’ve heard this several times). While some software firms (ServiceNow, SAP) have recently cited potential customer spending pressure from the conflict in the Middle East, we did not pick up any signs of the macro or geopolitical turbulence impacting IT budgets.
- **Solid (Not Spectacular) Datadog Spend:** In terms of 2026 spending intentions on Datadog in particular, we heard it will increase “8-12% this year”, “10-15% this year”, stay “stable” and increase “10-15% in the next 12 months”. These were roughly in-line with the customers’ IT budget growth and cloud spend, which is not blow-out but still healthy.
- **Correlation With Cloud Spend:** As one customer said, *“we’re looking at increasing our Datadog spend in line with our cloud and IT spend, so 8-12% this year. That’s because our business is growing, so there are more cloud workloads that we need to monitor”*. This in our view is important in light of the material growth rate inflection we’re seeing from AWS, Microsoft Azure and Google Cloud. Of course, a good portion of hyperscaler growth is coming from AI infra demand that doesn’t directly impact Datadog, but it seems clear listening to the hyperscalers that their core CPU-based infra demand is also strong. Microsoft told us in March that it is seeing “healthy” and “accelerating” on-prem to Azure migration activity. That is a likely tailwind for Datadog.
- **No Competitive Noise:** While enterprise checks on infra/data software peers such as Snowflake and MongoDB very often reveal plans to evaluate or even switch to alternatives, we don’t often hear this in Datadog checks and we didn’t hear any such anecdotes in this limited round of conversations. Customer cited the use of Dynatrace, Elastic, New Relic and Cisco/AppDynamics but we didn’t hear of any plans to shift share. Emerging rivals such as ClickHouse and Chronosphere weren’t mentioned. Two customers made a fairly strong case that Datadog remained difficult to displace because of its product comprehensiveness, real-time requirements, integrations, and deep entrenchment in the organization.

AI Opportunity and Disruption Risk

As noted above, the material out-performance of Datadog shares YTD relative to the broader software sector is very rooted in a consensus view that Datadog belongs in the relatively “safe” bucket in terms of AI disruption risk and that its direct (and growing, see Figure 1 below) exposure to the hyper-growth AI-native customer cohort in fact positions Datadog as an AI beneficiary. In this section, we’ll focus more narrowly on the AI impact on Datadog and judge whether this consensus view remains accurate. Over the last few months we’ve published similar “AI Disruption Analysis” notes on peers such as Palantir (see [here](#)) and Snowflake (see [here](#)).

Figure 3: Datadog's Topline Mix from AI-Native Customers



Source: Company reports, UBS

OpenAI and Anthropic Ramp and the 1P Risk

OpenAI is widely acknowledged as being Datadog’s largest single customer (and a high portion of that 12.5% of revs from AI-natives) and in 4Q25 Datadog signed a \$10+ million deal with another AI-native that we and the Street assume is Anthropic. The 1Q26 revs contribution of Anthropic may still be small as the contract was just signed and is presumably still ramping, such that the revs contribution was likely modest in 1Q26. The pace of OpenAI’s revenue ramp in 1Q26 – and that of the other AI-natives – is more critical. Note that as shown in Figure 1 above, we estimate that the mix of ARR from AI-natives leveled-off in 4Q25, we suspect because OpenAI renewed its contract at lower unit pricing, likely causing an initial and temporary slowdown in Datadog spend that could improve sequentially in 1Q26. Given its customer concentration with OpenAI, Datadog shares are impacted by sentiment swings about OpenAI’s revs trajectory, and we think comments in a LinkedIn post from the OpenAI CFO this past weekend were likely encouraging in this regard, saying that in 1Q26, the company “hit our aggressive plan, saw strength across every major part of the business and entered 2Q26 with enough momentum to raise our revs expectations for the rest of the year”.

Have we picked up any hard evidence that OpenAI is or might be planning to trim its spend with Datadog? No. As investors are aware, the main 2026 thrust of OpenAI is to ramp its revenue mix from enterprise customers (to 50%+ by 4Q26) and to broaden its portfolio by pushing beyond ChatGPT into coding (via Codex) and non-coding (knowledge work) enterprise AI use cases. It’s not obvious to us why this mix shift wouldn’t be a positive in terms of observability software spend.

Competitive 1P Risk Seems Low

The investor debate is more about the trajectory of OpenAI and Anthropic spend on Datadog in 2027+ and in particular whether either AI model provider might either elect to custom-build a first-party/1P alternative to Datadog's observability suite or move spend to a rival such as Chronosphere (now part of Palo Alto Networks) or privately-held ClickHouse. This was a concern/bear case that weighed on the stock throughout much of 2025, and we think the solid YTD performance in the stock is partly a function of this concern abating on the back of OpenAI renewing its contract and assumed Anthropic signing with Datadog in 2H25. That said, the concern still lingers.

Have we seen or heard anything to suggest that OpenAI or Anthropic might launch a 1P observability product? No. We – like investors – spend our days monitoring every tweet, every LinkedIn post, every comment made by OpenAI or Anthropic execs on podcasts, and we haven't heard anything to suggest such an effort. Now, in fairness, security software investors weren't hearing/seeing any clear evidence of an OpenAI or Anthropic push into the cyber-security market throughout most of 2H25 and then it began happening in 1Q26 and security software stocks de-rated, some significantly. The risk is non-zero. Anthropic's new Mythos model is touted as being best-in-class for vulnerability scanning. Is it a stretch to think that Mythos might over time also be used for observability workflows - ingesting telemetry, correlating signals, diagnosing incidents, and eventually remediating them? Perhaps, but akin to data analysts finding value in using Anthropic Claude WITHIN a product such as Snowflake Cortex Code, such that Snowflake reaps the benefit of unleashing Claude's capabilities inside the Snowflake platform, we're assuming that something similar will play out with Datadog given that customers are generally positive on Datadog's UX and performance and might rather use Claude within Datadog rather than instead of Datadog.

AI Impact on Datadog – What Customers Said

While it's largely a matter of educated guess-work to assess the risk that OpenAI and/or Anthropic might over time build a 1P observability software alternative to Datadog or switch to AI-centric rivals, we CAN assess the AI opportunity and disruption risk in Datadog's core enterprise customer base by simply asking these customers. We did so and heard the following:

Customer 1

- *I would categorize Datadog as a moderate AI beneficiary. With agentic AI they can provide even more value to our teams, and as they do that they become even more critical to the organization. As far as where I'd put Datadog on a list of top software I would want to build myself, it wouldn't be at the top of the list, and I would be skeptical because would that code be as performative? The coding models are getting much better, and that's great for applications that are not real-time. But I'm not sure about the code being performant especially when it comes to real-time alerting mechanisms or things of that nature. I'd be skeptical. Datadog is costly, yes. But on the flip side, if observability becomes so complex to develop, would I invest the people and money that it takes to build it or just pay the annual fee for having the best software available for managing that? I mean, tokens don't come for free.*
- *I've heard the notion that as these models get more powerful, let's just build everything ourselves. Maybe with this powerful model it can be even easier to do, but an enterprise wants to focus all the effort possible on the thing they do and sell. Building our own CRM would save us money, but maybe if we put those people to work on something else, it would bring in 10x the revenue. We'd be happy to invest our budget dollars in that DIYed product and instead pay for Salesforce and Workday. But most definitely the providers without a SOR, think about engineering productivity suites and project planning software, that category could be gone completely because you can now build an even better software with minimal effort. If it's a piece of software where I need 10 engineers to build and manage it, that's not worthwhile for me to DIY, I'd rather just keep paying the 3P vendor. If it's one engineer part time and the system almost manages itself, then that becomes lucrative to build yourself.*

- With Datadog, the first thing that differentiates them is the comprehensiveness of the solution. They're a true single pane of glass observability vendor. They also went into security in the last few years and are now DevSecOps, so they want to encompass everything in a single solution. What this means behind the scenes is also that it's kind of different technologies, right, like building a log container solution of massive scale requires different back-ends than the time series databases that can fire off hundreds of alerts and tens of thousands of conditions and other things that they do. It requires different technology for RUM and monitoring UI changes and things of that nature. There are complexities on the back end that make it more than just a database and more difficult to build yourself.
- The other thing that makes it durable is the real-time requirements for these solutions. It's similar to some of the real-time fraud software we develop. I think those things are much harder to replicate with just generative AI and vibe coding. It's hard to replicate real-time and performance software versus UI-focused software, again, versus like taking a database and presenting it nicely to the marketing people, salespeople. It's much harder than kind of building software that can detect the spike in latency and send that alert within a second or something like that or a millisecond.
- You also have a large number of constituents that use the software. So you have Datadog, you have developers, SREs, IT folks, sometimes even folks from sales will go and look at some Datadog dashboard if they're talking to customers, et cetera. Some companies might also use them for security. When you have all of these different professionals, if you come in and say "okay, I'm going to take this away and now we're going to build something," it becomes harder to push that into the organization.
- But to be balanced here, one thing that could work against that is the notion that some software is becoming simpler to monitor, so it uses fewer resources and is less costly to monitor. Take a customer service app. In the past, there was lots of software to try to understand what the user is saying, text to code and then code back to text, several servers running just to do that processing in the background. Today, an API calls to an LLM, the LLM comes back with exactly what to tell the user. It's simple to run and you only run Datadog to monitor the token spend, so that software cost of observability might have gone down. There are other examples where software is becoming simpler because you kind of take all the complexities that were running in the service and you just use the LLMs for 90% of it. But still overall, Datadog is a moderate AI beneficiary.
- Another thing to keep in mind is that AI coding tools could help open source adoption in observability. As these coding tools get better and better, they also could handle a lot of the deployment and management, so yes maybe it would be something that would come up. But just because it's easier to write code does not remove the challenge of managing and maintaining the open source observability, the overhead of managing the solution yourself, making sure it works, then trying all these different open source solutions together that aren't best of breed does not change. I think there's value in having a single vendor that's well managed and you are familiar with working through incidents with because incidents can be costly in our field. The value still outweighs the cost we pay.

Customer 2

- Datadog and the other SaaS vendors have an incentive to make you stay in their ecosystem. Datadog has AI agents into the platform but they're most useful for Datadog-oriented metrics, you'd use their out of the box agents. But if you have a really complicated data ecosystem where you need Datadog data as well as telemetry from other systems, you'd need it DIYed since they make it more challenging.
- As far as whether you would build your own Datadog, it depends. If you're a large enterprise with many acquired segments, you're operating across multiple observability vendors. That's painful and will make you want to DIY very quickly. Putting that aside, you want to DIY/build in relation to your customer experience. If you have a large consumer-facing app, you have millions upon millions of customers, you want to integrate that observability and that stack as closely as possible to the end consumer and that experience. Going after the high value use cases first is critical because then everything else becomes easy. If you traverse that

initial cornerstone, the rest is kind of trivial.

- *The risk level on Datadog historically was low due to the ecosystem lock-in on RUM and the ability to be implemented directly into the app layer. As more enterprises adopt OpenTelemetry, the walls come down and it lowers the cost of the platform. Datadog has a best in class collection platform where they do everything, and OpenTelemetry can do that for you. Yes I believe there's risk because the moat is absolutely lower. Datadog can embrace AI though, and I don't want to pick on them specifically. It impacts New Relic too.*
- *One of the reasons there was less OpenTelemetry adoption is because as an open source community there wasn't a sufficient python connector. It hadn't been fully integrated into enterprises, and it didn't work on client devices like Rust. But now we have these very, very intelligent coding agents that maintain some of this open source software. I do think it'll accelerate open source adoption and contributions to the communities. OpenTelemetry is so interesting because it has a really strong group of supporters, and they don't have the AI models of Mythos behind them today. It wouldn't take much for one of the enterprises to splinter off and start contributing.*
- *There are additional platform integrations that Datadog has like session replay that are differentiated. You cannot get that out of OpenTelemetry today, and that's fantastic. Their tracing is excellent. Their log parsing is great but not that much better than Splunk. Other than those three platforms, those are the main moats. There is value in these other platforms, but I don't know if it's valuable enough where it can't be rebuilt in 3 years.*

Customer 3

- *To be fair, you could build your observability solution yourself. The question is where do you want to spend your capital, and do you want to have teams running around supporting this stuff versus having a vendor that knows this space. If it's not part of your core and it's not critical to your defensible moat of the company, I don't know why you'd build it. I could probably vibe code all of Excel, for example. But why would I want to do that if I can just pay Microsoft for it? Why would you go through that headache? You have to build yourself a team to go and do it for you then maintain it.*

Customer 4

- *Datadog has increasingly positioned itself well for AI. We use it for anomaly detection and intelligent baselining, in particular with ML to establish dynamic baselining instead of relying purely on static data. The impact of this is a reduction in false positives. We also use it for the assistance of RCA for our auditors. The AI is correlated across all metrics, logs and traces. It accelerates the hypothesis generation for us too.*
- *We choose Datadog for observability because it provides, as I said, real-time monitoring, distributed tracing, telemetry ingest infrastructure, it's cloud native, et cetera. OpenAI and similar AI models are powerful for analysis and augmentation, but they do not replace the operational backbone required for enterprise observability. Datadog is our observability engine. The AI platforms are intelligence layers that can be obviously enhanced, but not substituted.*
- *Why use Datadog instead of developing something in-house using OpenAI models? The difficulty is obviously to find the capacity because we work on a lot of projects and the IT capacity is always at 100% or more than 100%. Datadog is something that is just ready and easy to implement. It's obvious in this situation that it's easier and it's better. We are a financial institution, so we are not as developed of an enterprise. I think the major difficulty is the time. Obviously, with the experienced and skilled people, we could do everything. But we choose Datadog because it is ready to use when we need something.*

What Did We Learn?

- **A Moderate AI Beneficiary:** As we quote above, customers concluded that “I would categorize Datadog as a moderate AI beneficiary” and “Datadog has increasingly positioned itself well for AI”. This is primarily due to the fact that AI adds more complexity and telemetry that needs to be monitored coupled with a view that the frontier models themselves can’t (at least not yet) do complex observability. As one customer said, “OpenAI and similar AI models are powerful for analysis and augmentation, but they do not replace the operational backbone required for enterprise observability.” In our checks on SaaS/application software firms, we have had many conversations with enterprise IT execs that have expressed a desire to harness AI models in a way that they can and plan to reduce their apps spend over time with 3P suppliers. We didn’t pick up any such anecdotes on Datadog.
- **Positive on Datadog’s AI Suite, But It’s Early.** We spoke to one customer that uses both LLM observability and Datadog’s Bits AI product, and the feedback was positive. On LLM observability, they were evaluating Arize [UBS: privately-held LLM observability monitoring company] and other vendors but went with Datadog because “the whole appeal of Datadog is the single pane of glass. We’re hesitant to pull in another vendor for some of the newer use cases around AI...it’s not a cost issue and that’s not something that would make us consider bringing in another vendor.” This customer is also using Bits AI and called it “wonderful” and a solution that could be “meaningful for reducing headcount down the road,” highlighting that they would “pay up for it” if this played out. That said, it wasn’t materially moving the needle on spend just yet. We also heard from one customer that if “Datadog were able to build a self-healing AI system, that would increase our spend by 50% for sure.” In our view, both anecdotes demonstrate the potential of Datadog’s long-term AI opportunity as well as the company’s advantage as the incumbent.
- **No Appetite to DIY Observability:** Was there much of an appetite from these enterprise customers to harness more performant AI models and DIY or custom-build observability solutions? Very little. Is it technically feasible? Potentially, but the feedback suggested that it would be too painful in practice. Customers consistently described the challenge as far more than simply standing up a dashboard, pointing instead to the complexity of building and maintaining the underlying real-time telemetry monitoring, alerting, and performance-sensitive back-end infrastructure required for enterprise observability. On the question of whether enterprises will actually choose to go down that path, we didn’t pick up any signs of appetite. Large enterprises said they have limited resources and would rather prioritize other and revenue-generating AI use cases, they said that Datadog’s ease of implementation, broad organizational familiarity, and trust make the platform much stickier and more difficult to replace. More tech-savvy firms could pull this off, and a recent post from The Stack highlighted efforts by Airbnb, a longtime Datadog customer, to build its own observability solution.
- **Impact of AI Agents:** There were two AI-related risks flagged by these checks that we admittedly weren’t thinking about before these checks. One is that as applications become “headless” (accessed via an API, not a traditional user interface or UI), a UI advantage matters less, and Datadog is known for a best-in-class UI and user experience. As one customer framed it: “I don’t need agents to go look at Datadog dashboards. I need them to analyze in near-real-time signal intelligence” and added that if “agents are using the single pane of glass, the architecture shifts”. The other is that AI coding tools might get good enough to boost adoption of open source observability alternatives. These in our view are modest risks. The open source risk has been around for years now, and we just have not picked up material evidence that enterprises are churning off of Datadog to instead consolidate around open source tools like Grafana and Prometheus. If having the best human-centric dashboards becomes less critical, Datadog can still own important parts of the data and workflow stack, and their Bits AI agent provides them with the opportunity to be the go-to agent operating in the headless or API-centric environment.

Key Financial Metrics

We'll end with some quick thoughts on the numbers set-up ahead of the print.

Revenue Growth

Looking back to the 4Q25 print, Datadog posted strong 29% y/y growth, up 5-points y/y and a modest acceleration from 28% in each of the previous two quarters. Sequential revenue dollar growth (\$68 million in 4Q25) was up materially y/y for the third straight quarter. We don't want to exaggerate the correlation, but this roughly matches the timeframe when hyperscaler sequential revenue growth materially inflected and (needless to say) it inflected further in 1Q26. Datadog called out a further acceleration in core enterprise (non AI-native) growth to 23% from 20% in 3Q25 and 18% in 2Q25 as well as offering commentary about positive usage trends in January.

- **1Q26 – We Expect 31% growth:** Datadog guided to \$961m in revs at the high-end, +26% y/y. This represents a 3 point sequential decel and just \$8m in sequential revs additions compared to \$24m and \$22m in 1Q25 and 1Q24, respectively. This guide looks conservative to us, especially when you consider that a) checks are still relatively healthy, b) the AI native cohort ex-OpenAI continues to scale and is becoming a more meaningful portion of the business and c) core enterprise cloud migration activity and spending trends remain very strong. We expect Datadog to deliver a 4% beat (consistent with the last 3 quarters) and are leaving our \$998m (+31% y/y) estimate unchanged.
- **2026 Outlook – Potential Raise to 21-22%:** On the 4Q25 call, Datadog guided to full year 2026 revs growth of 20%, which represents an 8 point decel relative to 2025 and just \$673m in y/y dollar growth compared to \$743m last year. We (and most investors) view this as conservative, for many of the reasons noted above. On each of the last two 1Q26 earnings calls, Datadog raised its full year guide by \$35-40 million. With the geopolitical landscape still being volatile, we expect Datadog to continue to be conservative and if it raises the full year revs guide by \$40 million (\$4.10 billion to \$4.14 billion), this would imply a 10-point lift to the full year growth guide to +21%. We are modeling 27% full year growth and are content leaving this unchanged.

2026 Margins and Cash Flow

Datadog guided to 2026 non-GAAP operating margins of 21.5%, which would represent 100bps of margin compression compared to 2025, and elected to leave the LT target for 25%+ margins unchanged at the investor day right after the print. We view this as conservative, as Datadog has a strong track record of beating the high-end of its initial margin guidance over the last several years, exceeding it by 128bps in 2025 (an intentional investment year and the lowest beat in its history) and 356bps in 2024. We expect Datadog to continue to benefit from S&M leverage as the incremental sales capacity added over the last year and a half matures, but we're not expecting 25%+ margins due to Datadog's prioritization of AI R&D investments. Net, we're leaving our 24% 2026 operating margin (+163 bps y/y) and 28% FCF margin (+121 bps y/y) estimates unchanged.

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	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
Income Statement (US\$m)										
Revenues	1,675	2,128	2,684	3,427	27.7	4,351	27.0	5,369	6,510	7,771
Gross profit	1,346	1,744	2,201	2,776	26.1	3,555	28.1	4,404	5,357	6,415
EBITDA (UBS)	361	535	729	824	13.0	1,108	34.6	1,449	1,846	2,285
Depreciation & amortisation	(35)	(44)	(55)	(56)	-1.5	(63)	-12.1	(83)	(94)	(105)
EBIT (UBS)	326	490	674	768	13.9	1,046	36.2	1,365	1,751	2,180
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	24	97	153	177	15.4	141	-20.1	180	157	201
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	350	587	828	945	14.2	1,187	25.6	1,545	1,908	2,381
Tax	(12)	(12)	(20)	(19)	4.5	(36)	-84.8	(46)	(57)	(71)
Profit after tax	338	576	807	926	14.7	1,152	24.4	1,499	1,851	2,309
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	(388)	(527)	(624)	(818)	-31.2	(932)	-14.0	(1,135)	(1,322)	(1,500)
Net earnings (local GAAP)	(50)	49	184	108	-41.4	220	103.7	364	529	810
Net earnings (UBS)	338	576	807	926	14.7	1,152	24.4	1,499	1,851	2,309
Tax rate (%)	3.5	2.0	2.4	2.0	-16.4	3.0	47.0	3.0	3.0	3.0
Per Share (US\$)										
EPS (UBS, diluted)	0.98	1.65	2.26	2.56	13.2	3.10	21.2	3.93	4.73	5.76
EPS (local GAAP, diluted)	(0.15)	0.14	0.51	0.30	-42.1	0.59	98.4	0.95	1.35	2.02
EPS (UBS, basic)	1.07	1.78	2.40	2.67	11.0	3.23	21.2	4.10	4.94	6.01
DPS (net) (US\$)	0.00	0.00	0.00	0.00	-	0.00	-	0.00	0.00	0.00
Cash EPS (UBS, diluted) ¹	1.08	1.77	2.41	2.71	12.4	3.26	20.5	4.15	4.98	6.03
Book value per share	4.42	6.35	8.04	10.75	33.7	13.69	27.3	17.41	21.87	27.29
Average shares (diluted)	345	350	358	362	1.3	372	2.7	381	391	401
Balance Sheet (US\$m)										
Cash and equivalents	1,884	2,583	4,189	4,475	6.8	5,689	27.1	7,254	9,215	11,629
Other current assets	460	595	722	907	25.7	1,073	18.2	1,303	1,483	1,607
Total current assets	2,344	3,178	4,911	5,382	9.6	6,761	25.6	8,557	10,698	13,236
Net tangible fixed assets	125	172	227	338	49.0	345	1.9	353	369	396
Net intangible fixed assets	365	362	364	546	49.8	651	19.3	769	912	1,075
Investments / other assets	171	224	283	378	33.5	375	-0.7	383	391	401
Total assets	3,005	3,936	5,785	6,644	14.8	8,131	22.4	10,061	12,370	15,108
Trade payables & other ST liabilities	760	1,003	1,229	1,591	29.5	1,907	19.8	2,328	2,736	3,101
Short term debt	0	0	634	0	-	0	-	0	0	0
Total current liabilities	760	1,003	1,863	1,591	-14.6	1,907	19.8	2,328	2,736	3,101
Long term debt	739	742	979	983	0.4	983	0.0	983	983	983
Other long term liabilities	96	165	229	337	47.1	361	7.1	387	456	543
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	1,594	1,911	3,071	2,912	-5.2	3,251	11.7	3,698	4,176	4,627
Common s/h equity	1,411	2,025	2,714	3,732	37.5	4,880	30.8	6,363	8,194	10,480
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	3,005	3,936	5,785	6,644	14.8	8,131	22.4	10,061	12,370	15,108
Cash Flow (US\$m)										
Net income (before pref divs)	(50)	49	184	108	-41.4	220	103.7	364	529	810
Depreciation & amortisation	35	44	55	56	1.5	63	12.1	83	94	105
Net change in working capital	6	45	13	53	300.9	177	231.3	209	289	318
Other operating	428	522	619	833	34.7	929	11.5	1,119	1,302	1,477
Operating cash flow	418	660	871	1,050	20.6	1,388	32.2	1,775	2,215	2,709
Tangible capital expenditure	(35)	(28)	(35)	(50)	-42.8	(65)	-31.6	(75)	(91)	(109)
Intangible capital expenditure	(30)	(35)	(61)	(86)	-41.2	(109)	-26.7	(134)	(163)	(187)
Net (acquisitions) & disposals	(46)	(12)	(7)	(118)	NM	0	-	0	0	0
Other investing	(274)	(656)	(634)	(1,081)	-70.5	0	-	0	0	0
Investing cash flow	(385)	(731)	(737)	(1,334)	-81.1	(174)	87.0	(209)	(254)	(295)
Equity dividends paid	0	0	0	0	-	0	-	0	0	0
Share issues / (buybacks)	36	58	51	6	-87.4	0	-	0	0	0
Other financing	0	0	0	0	-	0	-	0	0	0
Change in debt & pref shares	0	0	736	(636)	-	0	-	0	0	0
Financing cash flow	36	58	787	(629)	-	0	-	0	0	0
Cash flow inc/(dec) in cash	70	(13)	921	(913)	-	1,214	-	1,566	1,961	2,414
FX / non cash items	260	712	685	1,199	75.0	0	-	0	0	0
Balance sheet inc/(dec) in cash	330	699	1,606	286	-82.2	1,214	324.7	1,566	1,961	2,414

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Datadog Inc (DDOG.O)

Valuation (x)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
P/E (local GAAP, diluted)	NM	NM	NM	NM	NM	NM	NM	69.5
P/E (UBS, diluted)	NM	54.6	55.5	55.0	45.4	35.8	29.7	24.4
P/CEPS	NM	46.9	48.8	49.7	41.3	32.5	27.1	22.3
Equity FCF (UBS) yield %	1.0	2.1	1.9	1.9	2.5	3.2	4.0	4.9
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
P/BV	24.5	14.2	15.6	13.1	10.3	8.1	6.4	5.1
EV/revenues (core)	NM	NM	NM	NM	NM	8.1	6.4	5.1
EV/EBITDA (UBS core)	92.0	50.8	53.5	55.8	40.5	30.0	22.6	17.3
EV/EBIT (core)	>100	55.4	57.9	59.8	42.9	31.9	23.8	18.1
EV/OpFCF (core)	>100	53.6	56.2	59.4	43.0	31.7	23.8	18.2
EV/op. invested capital	>100	>100	>100	>100	>100	>100	>100	NM
Enterprise value (US\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Market cap.	34,197	28,673	41,241	48,995	48,995	48,995	48,995	48,995
Net debt (cash)	(982)	(1,493)	(2,208)	(3,034)	(4,098)	(5,488)	(7,251)	(9,439)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	33,215	27,180	39,033	45,962	44,897	43,507	41,744	39,556
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	33,215	27,180	39,033	45,962	44,897	43,507	41,744	39,556
Growth (%)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Revenue	62.8	27.1	26.1	27.7	27.0	23.4	21.3	19.4
EBITDA (UBS)	92.0	48.2	36.4	13.0	34.6	30.7	27.4	23.8
EBIT (UBS)	97.7	50.3	37.5	13.9	36.2	30.5	28.3	24.5
EPS (UBS, diluted)	101.9	68.0	37.1	13.2	21.2	27.0	20.4	21.7
Net DPS	-	-	-	-	-	-	-	-
Margins & Profitability (%)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Gross profit margin	NM	NM	NM	NM	NM	NM	NM	NM
EBITDA margin	21.5	25.1	27.2	24.0	25.5	27.0	28.4	29.4
EBIT (UBS) margin	19.5	23.0	25.1	22.4	24.0	25.4	26.9	28.0
Net earnings (UBS) margin	20.2	27.0	30.1	27.0	26.5	27.9	28.4	29.7
ROIC (EBIT)	NM	NM	NM	NM	NM	NM	NM	NM
ROIC post tax	NM	NM	NM	NM	NM	NM	NM	NM
ROE (UBS)	27.6	33.5	34.1	28.7	26.7	26.7	25.4	24.7
Capital structure & Coverage (x)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Net debt / EBITDA	(3.2)	(3.4)	(3.5)	(4.2)	(4.2)	(4.3)	(4.5)	(4.7)
Net debt / total equity %	(81.2)	(90.9)	(94.9)	(93.5)	(96.4)	(98.5)	(100.5)	(101.6)
Net debt / (net debt + total equity) %	NM	NM	NM	NM	NM	NM	NM	NM
Net debt/EV %	(3.0)	(5.5)	(5.7)	(6.6)	(9.1)	(12.6)	(17.4)	(23.9)
Capex / depreciation %	130.3	77.5	71.6	100.4	111.0	111.9	121.6	133.1
Capex / revenue %	2.1	1.3	1.3	1.4	1.5	1.4	1.4	1.4
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	-	-	-	-	-	-	-	-
Div. payout ratio (UBS) %	-	-	-	-	-	-	-	-
Revenues by division (US\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Others	1,675	2,128	2,684	3,427	4,351	5,369	6,510	7,771
Total	1,675	2,128	2,684	3,427	4,351	5,369	6,510	7,771
EBIT (UBS) by division (US\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Others	326	490	674	768	1,046	1,365	1,751	2,180
Total	326	490	674	768	1,046	1,365	1,751	2,180

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	38.8%
Forecast dividend yield	0.0%
Forecast stock return	38.8%
Market return assumption	8.9%
Forecast excess return	29.9%

Company Description

Datadog is a monitoring service for cloud-based infrastructure and applications, providing visibility into servers, apps, tools, and services through its platform, which offers dashboarding, visualization, and alerting. The company was founded in 2010 by Olivier Pomel and Alexis Lê-Quôc, went public in Sept 2019 and is headquartered in New York City. The company generated \$1.7bn in 2022 revenue and has over 26,000 customers.

Valuation Method and Risk Statement

Downside risks include: 1) a greater-than-expected lag in Observability spend recovering relative to an expected re-acceleration in public cloud spend/workload activity, 2) intensifying competition in the Observability market leads to more pricing pressure and worse-than-expected share gains. We value Datadog on a FCF multiple basis.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Datadog Inc

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	N/A
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	54%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 31 March 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS Securities LLC: Dean Marriott, Karl Keirstead.

Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Datadog Inc ^{12,16,28}	DDOG.O	Buy	US\$140.53	01 May 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

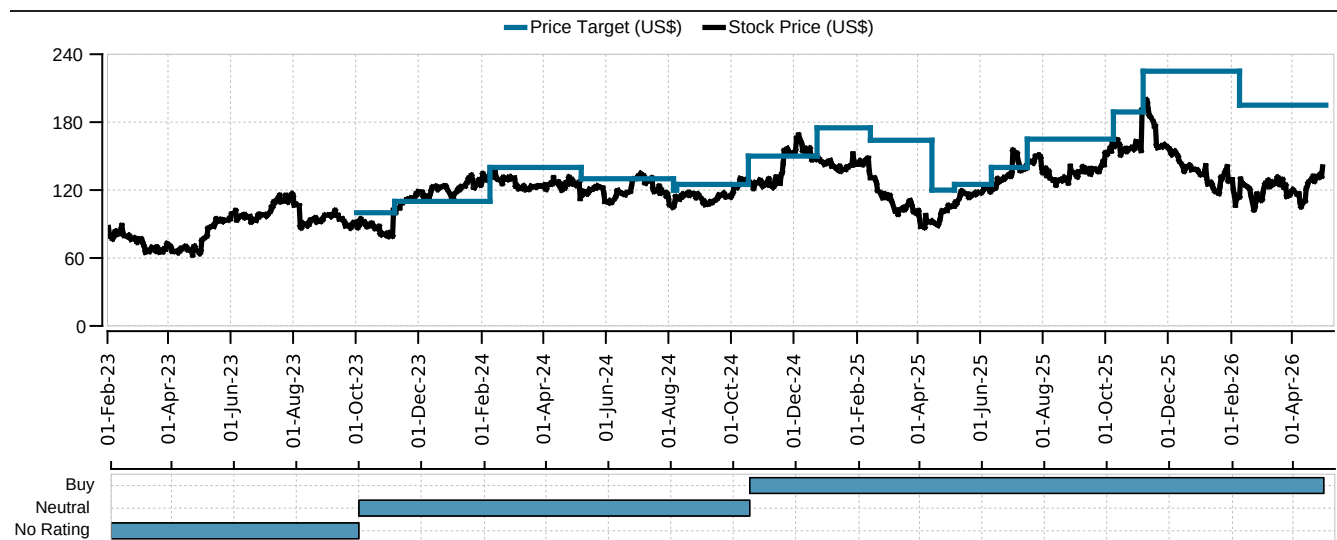
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Datadog Inc (US\$)



Date	Stock Price (US\$)	Price Target (US\$)	Rating
2023-02-01	82.72	-	No Rating
2023-10-01	91.15	100.00	Neutral
2023-11-07	102.32	110.00	Neutral
2024-02-08	131.38	140.00	Neutral
2024-05-07	112.55	130.00	Neutral
2024-08-05	105.01	120.00	Neutral
2024-08-08	114.18	125.00	Neutral
2024-10-17	126.25	150.00	Buy
2024-12-23	147.41	175.00	Buy
2025-02-13	135.89	164.00	Buy
2025-04-14	91.88	120.00	Buy
2025-05-06	106.06	125.00	Buy
2025-06-11	118.63	140.00	Buy
2025-07-16	139.36	165.00	Buy
2025-10-08	164.12	189.00	Buy
2025-11-06	190.82	225.00	Buy
2026-02-08	111.69	195.00	Buy

Source: UBS Global Research; LSEG Eikon as of 01-May-2026. All prices as of local market close. Ratings as of date shown.

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